Session 16, Leases I: Why Firms Lease, and Why IFRS16 Replaced IAS17

By the end of this session you must know what makes a contract a lease under the “right to control” test, why firms choose to lease rather than buy, the key structural difference between IAS17’s dual model and IFRS16’s single model, the academic evidence that motivated the switch to full lease capitalisation, and the academic evidence on how firms actually respond to that change in practice.

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1. What Is a Lease? The Right to Control Test

Lease: a contract between a lessor and a lessee that gives the lessee the right to use a specific asset, owned by the lessor, for a period of time, typically in exchange for periodic cash payments (rents).

- For a contract to be a lease, it must convey the **right to control the use of an identified asset**.
- Right to control means that, throughout the period of use, the lessee has the right to **both**: obtain substantially all of the economic benefits from using the asset, and direct how and for what purpose the asset is used.
- Both conditions are required, a contract that grants economic benefits without decision making rights over use (or vice versa) does not convey control in the IFRS16 sense.

2. Why Do Firms Lease?

Must know (three commercial motivations for leasing):
• **100% financing at fixed rates:** banks typically lend only a fraction of an asset’s cost, while lease agreements often require no down payment and fix the payment schedule
• **Protection against obsolescence:** some lease agreements let the lessee return the asset at any time, protecting against technological change and saving the time/resources needed to dispose of an outdated asset
• **Flexibility:** lease agreements can carry less restrictive provisions than other debt agreements, e.g. fewer or looser debt covenants

3. IFRS16 vs. IAS17: From a Dual Model to a Single Model

IAS17 (and its US equivalent, former FASB Topic 840): a dual model. Every lease was classified using two economic substance over legal form questions: (a) are the risks and rewards of ownership transferred to the lessee? and (b) is the lease economically similar to purchasing the underlying asset? If yes to either, the lease was a **finance (capital) lease**, recognised on the balance sheet. if no, it was an **operating lease**, kept largely off the balance sheet (rent expense only, with disclosure in the notes).

IFRS16: a single model. There is no lease classification test for lessees. A lessee recognises, for essentially every lease, both a lease liability (the obligation to make lease payments) and a right of use (ROU) asset (representing its right to use the underlying asset) for the lease term.

- IFRS16 made no substantial change to lessor accounting (Session 17 covers lessor accounting in more detail) beyond requiring more disclosure, lessors must now disclose additional information about how they manage the risks related to their residual interest in leased assets.
- IFRS16 (effective January 2019, with early application permitted for companies also applying IFRS15) was developed jointly with the FASB’s parallel project, Topic 842 (superseding ASC 840, effective for fiscal years beginning after 15 December 2018).

- Both US GAAP and IFRS were designed to stop leases from being used to keep items off the balance sheet, but they diverge on the model: US GAAP retained a dual model (finance vs. operating leases still exist for lessees under Topic 842, differing mainly in expense pattern), whereas IFRS16 adopted a single lease accounting model for all lessee leases.

4. Why the Change? Off Balance Sheet Leases and Investor Adjustments

- The empirical starting point behind the reform was that leases create real assets and real liabilities regardless of how they are labelled.
- Prior research had shown that operating leases behave economically like debt, and that investors already tried to capitalise off balance sheet operating leases themselves when assessing firm riskiness, a positive relationship between operating leases and equity risk had been documented (Imhoff et al. 1993. Beattie et al. 2000).

This informal capitalisation was widespread but noisy:

- Investors and analysts commonly used rough rules of thumb such as lease liability ≈ 8 × annual lease expense, and interest expense ≈ 1/3 × lease expense.
- Credit rating agencies and lenders made similar adjustments: survey evidence found lending officers treated term loans, recognised capital leases and merely footnoted operating leases similarly when making lending decisions (Wilkins and Zimmer 1983).
- Bank loan spreads were better explained by financial ratios adjusted for operating lease capitalisation (Altamuro et al. 2014).
- Capitalising operating leases was one of the most frequent adjustments Moody's made when assigning credit ratings (Kraft 2014).
- The new rules were designed to make this adjustment unnecessary, by moving all leases onto the balance sheet directly.

Must know (three stated goals of the new rules):
• Facilitate faithful representation: reflect economic substance rather than legal form
• Enhance comparability: account for economically similar transactions in the same way
• Mitigate opportunities for accounting manipulation: reduce financing kept outside the balance sheet

5. Academic Evidence: Recognition vs. Disclosure

- A separate strand of research asks a narrower question: does it matter, for capital markets, whether a number is *recognised* on the face of the financial statements versus merely *disclosed* in the notes?
- The consistent empirical finding is that investors treat recognised values as more value relevant than disclosed values, across several unrelated settings: stock option expense (Aboody 1996), post retirement benefits (Davis Friday et al. 2010), derivative financial instruments (Ahmed et al. 2006), and fair value of investment property (Muller et al. 2015).
- This literature supports the specific design choice IFRS16 made (recognition, not just enhanced disclosure) as the more effective route to giving investors decision useful information.

6. Academic Evidence: Real Effects of Lease Capitalisation

- Beyond capital market effects, the research also asks whether a change in accounting rules changes firms' actual business behaviour ("real effects"), not just how existing transactions are reported.

Must know (real effects findings):
• When SFAS13 first required finance leases to move from footnote disclosure onto the balance sheet, firms responded by substituting finance leases with operating leases and other non lease financing (Imhoff and Thomas 1988), i.e. firms restructured around the rule to keep leases off balance sheet
• Following the newer capitalisation rules (IFRS16/Topic 842), firms decreased long term operating leases, increased short term operating leases, and increased capital expenditure instead (Ma and Thomas 2023)
• Firms also substituted fixed lease payments for variable lease payments (Heese et al. 2025), since IFRS16's lease liability is based on largely fixed/determinable payments, shifting toward variable payments can reduce the measured liability
• Lease capitalisation rules can have costly, unintended consequences: the new rules are associated with decreases in firm level investment, profitability and employment (Chen et al. 2023), with these effects concentrated in lease intensive firms and financially distressed firms

7. Common Mistakes and Exam Traps

- Describing IFRS16 as still using a lease classification test for lessees, that dual finance/operating distinction is the IAS17 (and current US GAAP) approach. IFRS16 replaced it with a single model for lessees.

- Assuming IFRS16 changed lessor accounting substantially, it did not. the main change for lessors is additional disclosure about residual value risk management.
- Treating “right to control” as satisfied by economic benefit alone, both economic benefit control *and* the right to direct how/for what purpose the asset is used are required.
- Assuming the shift to lease capitalisation was purely a “more information is always better” story, the real effects literature (Chen et al. 2023, Ma and Thomas 2023, Heese et al. 2025) shows firms actively restructure their behaviour (and can suffer real economic costs) in response to changed accounting rules, not just their reported numbers.
- Confusing the direction of the “recognition vs. disclosure” evidence, the finding is that *recognised* amounts are more value relevant than *disclosed* ones, which is the argument *for* IFRS16’s design, not against it.

8. Must Know Absolutely

Must know:
• Lease = contract conveying the right to control an identified asset (economic benefits + direct how/for what purpose it’s used)
• Three reasons firms lease: 100% fixed rate financing, protection against obsolescence, contractual flexibility
• IAS17 = dual model (risk/reward transfer + purchase similarity tests → finance vs. operating lease). IFRS16 = single model (lessee always recognises ROU asset + lease liability)
• IFRS16 barely changes lessor accounting, mainly adding disclosure requirements
• Motivation for the change: pre IFRS16, investors/analysts/rating agencies already informally capitalised operating leases using noisy rules of thumb (e.g. liability ≈ 8× lease expense)
• Three goals of the reform: faithful representation, comparability, less room for manipulation
• Recognition > disclosure for value relevance, across multiple unrelated accounting settings
• Real effects: firms restructure leases (shorter terms, variable payments, more capex) in response to capitalisation rules, sometimes with costly side effects on investment/profitability/employment